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Washington, Tuesday, November 22, 1938

The President

THANKSGIVING DAY—1938

BY THE PRESIDENT OF THE UNITED STATES OF AMERICA

A PROCLAMATION

I, FRANKLIN D. ROOSEVELT, President of the United States of America, do hereby designate Thursday, the twenty-fourth of November, 1938, as a day of general thanksgiving.

Our Fathers set aside such a day as they hewed a nation from the primeval forest. The observance was consecrated when George Washington issued a Thanksgiving proclamation in the first year of his presidency. Abraham Lincoln set apart "a Day of Thanksgiving and Praise to our beneficent Father who dwelleth in the heavens."

Thus from our earliest recorded history, Americans have thanked God for their blessings. In our deepest natures, in our very souls, we, like all mankind since the earliest origin of mankind, turn to God in time of trouble and in time of happiness. "In God We Trust."

For the blessings which have been ours during the present year we have ample cause to be thankful.

Our lands have yielded a goodly harvest, and the toiler in shop and mill receives a more just return for his labor.

We have cherished and preserved our democracy.

We have lived in peace and understanding with our neighbors and have seen the world escape the impending disaster of a general war.

In the time of our fortune it is fitting that we offer prayers for unfortunate people in other lands who are in dire distress at this our Thanksgiving Season.

Let us remember them in our families and our churches when, on the day appointed, we offer our thanks to Almighty God. May we by our way of living merit the continuance of His goodness.

IN WITNESS WHEREOF, I have hereunto set my hand and caused the seal of the United States of America to be affixed.

DONE at the City of Washington this nineteenth day of November, in the year of our Lord nineteen hundred
[SEAL] and thirty-eight, and of the Independence of the United States of America the one hundred and sixty-third.

FRANKLIN D ROOSEVELT

By the President:

CORDELL HULL
Secretary of State.

[No. 2310]

[F. R. Doc. 38-3501; Filed, November 21, 1938; 11:51 a. m.]

EXECUTIVE ORDER

WITHDRAWAL OF PUBLIC LANDS

PUBLIC WATER RESERVE NO. 160

California, Idaho, Oregon, and Wyoming

By virtue of and pursuant to the authority vested in me by the act of June 25, 1910, c. 421, 36 Stat. 847, as amended by the act of August 24, 1912, c. 369, 37 Stat. 497, and subject to the conditions therein expressed and to valid existing rights, it is ordered that the following-described public lands be, and they are hereby, withdrawn from settlement, location, sale, or entry and reserved for public use in accordance with the provisions of section 10 of the act of December 29, 1916, c. 9, 39 Stat. 862, 865:

CALIFORNIA

Mount Diablo Meridian

T. 7 S., R. 20 E., sec. 2, NE¼SE¼.

IDAHO

Boise Meridian

T. 31 N., R. 3 W.,
sec. 26, lot 3;
sec. 27, lot 5.

OREGON

Willamette Meridian

T. 9 S., R. 23 E., sec. 18, NE¼SW¼.

WYOMING

Sixth Principal Meridian

T. 40 N., R. 84 W., sec. 25, SE¼SE¼.

FRANKLIN D ROOSEVELT

THE WHITE HOUSE,
November 18, 1938.

[No. 8009]

[F. R. Doc. 38-3492; Filed, November 19, 1938; 11:04 a. m.]

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FEDERAL REGISTER

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EXECUTIVE ORDER

WITHDRAWAL OF PUBLIC LANDS, RESERVOIR-SITE RESERVE NO. 21

CACHE CREEK, CALIFORNIA

By virtue of and pursuant to the authority vested in me by the act of June 25, 1910, c. 421, 36 Stat. 847, as amended by the act of August 24, 1912, c. 369, 37 Stat. 497, it is hereby ordered as follows:

1. Executive Order No. 6910 of November 26, 1934, as amended, temporarily withdrawing all public lands in Certain states for classification and other purposes, is hereby revoked in so far as it affects the following-described tracts of land in California:

Mount Diablo Meridian

T. 14 N., R. 6 W.,
sec. 3, (fractional) W½W½;
sec. 5, (fractional) W½NE¼, SE¼NW¼, and N½SW¼;
sec. 10, NW¼NW¼.
T. 15 N., R. 6 W.,
sec. 7, (fractional) S½;
sec. 8, NE¼, SW¼, and NE¼SE¼;
sec. 9, E½NE¼, SW¼NE¼, SW¼NW¼, and SE¼;
sec. 17, SW¼NW¼, and W½SW¼;
sec. 18, lots 1 and 2, SE¼NE¼, and NE¼NW¼;
sec. 20, W½W½;
sec. 21, SW¼SE¼;
sec. 28, SE¼NE¼, and E½SE¼;
sec. 29, E½NW¼, and SW¼;
sec. 32, NW¼;
sec. 33, E½E½.
T. 15 N., R. 7 W.,
sec. 12, N½SW¼, SE¼SW¼, and SE¼;
sec. 13, NE¼NE¼, S½NE¼, and S½NW¼.
AREA 3,039 acres.

2. Subject to the conditions expressed in the above-mentioned acts and to all valid existing rights, the lands described in section 1 of this order are hereby withdrawn from settlement, location, sale, or entry and reserved for reservoir sites.

3. The reservation made by section 2 of this order shall remain in force until revoked by the President or by act of Congress.

FRANKLIN D ROOSEVELT

THE WHITE HOUSE,
November 18, 1938.

[No. 8010]

[F. R. Doc. 38-3500; Filed, November 21, 1938; 11:02 a. m.]

Rules, Regulations, Orders

TITLE 6—AGRICULTURAL CREDIT

COMMODITY CREDIT CORPORATION

1938-39 COTTON CIRCULAR LETTER No. 4

NOVEMBER 9, 1938.

Reports received by the Washington office of the Corporation indicate that there has been a material increase in the number of instances in which producers have obtained loans without disclosing the existence of prior liens upon the pledged cotton. A majority of the cases reported relate to crop mortgages, running to the Governor of the Farm Credit Administration, in connection with loans made through the Emergency Crop and Feed Loan Offices.

The Farm Credit Administration is cooperating in this matter by undertaking to have the Emergency Crop and Feed Loan Offices furnish all banks in their respective territories with an alphabetical list of their borrowers. Banks and other lending agencies will be expected to check against any such lists of producers which they may have been furnished as having outstanding liens against their 1938 crop before completing loans under the 1938-39 cotton loan program. Banks and other lending agencies making these loans should obtain these lists. Producers should also be questioned specifically concerning their status as landowner, landlord or tenant, as the Printed Instructions (1938-39 CCC Cotton Form 1) [1] require the execution of the lien waiver by the landlord in all instances in which the borrower is the tenant.

It has also been reported that in some instances cotton has been purchased from producers and loans obtained by forging the producer's signature on the note or the use of fictitious names. Attention of lending agencies is again called to their warranty as to the genuineness of signatures with respect to notes purchased by Commodity Credit Corporation.

Attention of banks and other lending agencies is also called to the provisions of the Printed Instructions and the Contract to Purchase which require the completion of the advice of loan slips and the prompt forwarding of same to the Washington office of Commodity Credit Corporation with respect to all loans made on 1938-39 CCC Cotton Form A.

[SEAL] G. E. RATHELL,
Treasurer.

[F. R. Doc. 38-3491; Filed, November 19, 1938; 10:29 a. m.]

TITLE 7—AGRICULTURE

AGRICULTURAL ADJUSTMENT ADMINISTRATION

[RCP—1938-1—Meagher County, Mont.]

1938 RANGE CONSERVATION PROGRAM BULLETIN FOR MEAGHER COUNTY, MONTANA

SUPPLEMENT NO. 1

Pursuant to the authority vested in the Secretary of Agriculture under Sections 7 to 17, inclusive, of the Soil Conservation and Domestic Allotment Act, as amended, the 1938 Range Conservation Program Bulletin for Meagher County, Montana, issued June 21, 1938,[2] is hereby amended as follows:

Section I is hereby amended to read as follows:

SECTION I. *Rates of range-building payments.*—Subject to the conditions set forth in subsection A-1 below, payments will be made for the performance of limited grazing on range land, if approved by the county committee for the ranching unit prior to its institution, during the year 1938. Within the limits of that part of the range-building allowance re-

[1] 3 F. R. 2589 DI.
[2] 3 F. R. 1459 DI.

maining after applying the provisions of subsection A–1 below, and subject to the conditions set forth in the remaining subsections, there will be paid for carrying out in 1938 on range land such of the range-building practices as are approved by the county committee for the ranching unit prior to their institution.

Practices and Conditions of Payment—Rate of Payment

PRACTICE A. *Reseeding of range land.*—A–1. Natural reseeding by limited grazing.

a. Ranches designated as not overgrazed.

(1) If no goal is established for the ranching unit by the county committee or if a goal is established by the county committee for the ranching unit and the operator fails to fully comply with the provisions thereof: 40% of the range-building allowance, computed under Section II, subsection A.

(2) If a goal is established for the ranching unit by the county committee and if the operator fully complies with the provisions thereof: 60% of the range-building allowance, computed under Section II, subsection A.

b. Ranches designated as overgrazed.

(1) If no goal is established for the ranching unit by the county committee or if a goal is established by the county committee for the ranching unit and the operator fails to fully comply with the provisions thereof: 60% of the range-building allowance, computed under Section II, subsection A.

(2) If a goal is established for the ranching unit by the county committee and if the operator fully complies with the provisions thereof: 75% of the range-building allowance, computed under Section II, subsection A.

c. For the purposes of this subsection A-1, the county committee shall determine the ranching units in the county which are overgrazed and those not overgrazed. In making such determination with respect to a ranching unit, the county committee shall give consideration to the following: Varieties, palatability, and density of forage growth; climatic fluctuations; distribution and character of watering facilities; topographic and cultural features, presence or absence of rodents and poisonous plants infestations; the number and classes of livestock currently grazed upon such ranching unit, and other similar factors.

d. The provisions of this subsection A-1, subparagraphs b and c, shall be applicable only during 1938 and 1939. In 1940, the rates for all ranches will be as prescribed under subparagraphs a (1) and a (2) above.

e. The goal provided for in this subsection A–1 shall be established by the county committee and shall consist of conditions and specifications other than those listed in this bulletin, and in addition to limited grazing, which the county committee determines are necessary on the ranch either to support and complement the effective conservation use to be made of the range in connection with such range-building practices as are contained in this bulletin or to assist in connection with limited grazing in bringing about on the ranching unit such use of the forage resources as will more effectively carry out the purposes of the Soil Conservation and Domestic Allotment Act. The county committee's determination with respect to goals shall be based on conservative range management, forage and feed resources of the ranch, topographic and cultural features, utilization of forage by wildlife and the extent to which the resources of the ranch have been utilized in a conservative manner.

A–2. Artificial reseeding: $0.20 per pound of seed sown, but not in excess of $2.00 per acre.

For reseeding depleted range land with good seed of adapted varieties of range grasses, legumes, or forage shrubs.

PRACTICE B. *Erosion and runoff control.*—B–3–a. Contour listing, furrowing, or subsoiling: $0.50 per acre.

For listing, furrowing, or subsoiling range land on the contour.

B–4. Spreader dams and terraces: For constructing spreader dams and spreader terraces alone or in combination with each other for the diversion of surface water to prevent soil washing of range land.

a. Spreader dams: $0.15 per cubic yard of material moved.

b. Spreader terraces: $0.40 per 100 linear feet.

PRACTICE C. *Development of stock water on range land.*—C–5. Earthen tanks or reservoirs: $0.15 per cubic yard of fill or excavation.

For constructing reservoirs or earthen tanks with spillways adequate to prevent dams from washing out, for the purpose of providing water for range livestock.

C–7–a. Wells: For drilling or digging wells with casing not less than 4 inches in diameter, for the purpose of providing water for range livestock, provided a windmill or power pump is installed and the water is conveyed to a tank or storage reservoir. Payment will not be made for a well developed at ranching unit headquarters: $2.00 per linear foot.

C–7–b. Wells: For drilling or digging wells with casing less than 4 inches but not less than 2 inches in diameter, for the purpose of providing water for range livestock, provided a windmill or power pump is installed and the water is conveyed to a tank or storage reservoir. An artesian well will qualify for payment provided adequate stock water is made available during the grazing season and the water is conveyed to a tank or trough. Payment will not be made for a well developed at ranching unit headquarters: $1.00 per linear foot.

C–8. Development of natural watering places. For developing springs or seeps, protecting the source from trampling and conveying the water in a trough or in a pipe not less than one inch in diameter to a tank, for the purpose of providing water for range livestock.

a. Excavation in soil or gravel: $0.40 per cubic foot.

b. Excavation in rock: $0.70 per cubic foot.

PRACTICE F. *Fire Guards.*—F–15. For the establishment of fire guards not less than 10 feet in width by plowing furrows or otherwise exposing the mineral soil. Payment will not be made if the fire guard is used in connection with controlled burning within the ranching unit: $0.05 per 100 linear feet.

Done at Washington, D. C., this 18th day of November, 1938. Witness my hand and the seal of the Department of Agriculture.

[SEAL] M. L. WILSON,
Acting Secretary of Agriculture.

[F. R. Doc. 38–3499; Filed, November 19, 1938; 12:23 p. m.]

TITLE 16—COMMERCIAL PRACTICES

FEDERAL TRADE COMMISSION

[Docket No. 3162]

IN THE MATTER OF NATIONAL SILVER COMPANY ET AL.

SEC. 3.6 (r) (7) *Advertising falsely or misleadingly—Prices—Usual as reduced:* SEC. 3.72 (n) *Offering deceptive inducements to purchase—Special offers.*—Representing, or aiding, abetting or assisting retail dealers in silverplated flatware in representing, in connection with offer or sale of such product, that any price at which it is offered for sale or sold is a special or reduced price, or a price that is lower than the price ordinarily and usually received therefor, when such is not the fact, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, National Silver Company et al., Docket 3162, November 3, 1938.]

SEC. 3.6 (u) *Advertising falsely or misleadingly — Quality.* — Representing, or aiding, abetting or assisting retail dealers in silverplated flatware in representing, in connection with offer or sale of such product, that it is of a certain, specified quality or standard, when such is not the fact, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, National Silver Company et al., Docket 3162, November 3, 1938.]

SEC. 3.6 (a) (22) *Advertising falsely or misleadingly—Business status, advantages or connections of advertiser—Producer status of dealer—Manufacturer.*—Representing, or authorizing others to represent, in connection with offer or sale of such product, that respondent corporation is a manufacturer of silverplated

flatware, when such is not the fact, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, National Silver Company et al., Docket 3162, November 3, 1938.]

SEC. 3.6 (a) 10.1 *Advertising falsely or misleadingly—Business status, advantages or connections of advertiser—History.*—Representing, or authorizing others to represent, in connection with offer or sale of silverplated flatware, that respondent corporation was established in 1890, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, National Silver Company et al., Docket 3162, November 3, 1938.]

United States of America—Before Federal Trade Commission

At a regular session of the Federal Trade Commission, held at its office in the City of Washington, D. C., on the 3rd day of November, A. D. 1938.

Commissioners: Garland S. Ferguson, Chairman; Charles H. March, Ewin L. Davis, William A. Ayres, Robert E. Freer.

MODIFIED ORDER TO CEASE AND DESIST

This proceeding having been heard by the Federal Trade Commission upon the motion, and the application to amend motion, of Brill, Bergenfeld & Brill, counsel for the respondents, to modify and amend Paragraphs 1 to 5, inclusive, of the order to cease and desist as issued in these proceedings on July 29, 1938[1] and the Commission having considered said motion and said application to amend motion and the record herein and being now fully advised in the premises:

It is ordered, That the motion, and application to amend motion, to modify and amend Paragraphs 1 to 5, inclusive, of the order to cease and desist issued herein on July 29, 1938 be and the same hereby is granted as prayed;

It is further ordered, That the order to cease and desist issued herein on July 29, 1938 be and the same hereby is modified as to read as follows:

Order to Cease and Desist

This proceeding having been heard by the Federal Trade Commission upon the complaint of the Commission, the answer of respondents, testimony and evidence taken before John J. Keenan, an examiner of the Commission theretofore duly designated by it, in support of the allegations of said complaint, briefs and oral arguments having been waived, and the Commission having made its findings as to the facts and its conclusion that the said respondents have violated the provisions of the Federal Trade Commission Act;

It is ordered, That respondents National Silver Company, a corporation, its officers and directors, Samuel E. Bernstein, Philip J. Bernstein, Morton Bernstein, Milton Bernstein, Bernard Bernstein and Harry S. Berk, and their successors, and its representatives, agents and employees, in connection with the offering for sale, sale and distribution of silverplated ware in interstate commerce or in the District of Columbia, do forthwith, directly or indirectly, cease and desist from:

1. Representing that any price at which silverplated flatware is offered for sale or sold is a special or reduced price, or a price that is lower than the price ordinarily and usually received therefor, when such is not the fact;

2. Aiding, abetting or assisting retail dealers in silverplated flatware in representing that any price at which silverplated flatware is offered for sale or sold is a special or reduced price, or a price that is lower than the price ordinarily and usually received therefor, when such is not the fact;

3. Representing that said silverplated flatware is of a certain, specified quality or standard when such is not the fact;

4. Aiding, abetting or assisting retail dealers in silverplated flatware in representing that said silverplated flatware is of a certain, specified quality or standard, when such is not the fact;

5. Representing, or authorizing others to represent, that the respondent corporation is a manufacturer of silverplated flatware, when such is not the fact;

6. Representing, or authorizing others to represent, that respondent corporation was established in 1890.

It is further ordered, That this proceeding be, and the same hereby is, dismissed as to the respondent Stella Berk.

It is further ordered, That the respondents shall, within sixty days after service upon them of this order, file with the Commission a report in writing, setting forth in detail the manner and form in which they have complied with this order.

By the Commission.

[SEAL] OTIS B. JOHNSON, *Secretary.*

[F. R. Doc. 38-3487; Filed, November 19, 1938; 9:52 a. m.]

[Docket No. 3243]

IN THE MATTER OF THE ETA COMPANY, INC. ET AL.

SEC. 3.6 (t) *Advertising falsely or misleadingly—Qualities or properties of product.*—Representing, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similar products, that said "Foods" sold under some fifteen various names such as "Eta Food Sodium," "Eta Food Potassium," "Eta Food Magnesium," etc., have any curative, remedial or therapeutic value or are in any way beneficial in the treatment of any of a great variety of ailments, diseases and conditions, including indigestion, nervousness, skin diseases, etc., as in said order specified, and will bring about many positive benefits and improvements including youthful appearance, increased popularity, courage, etc., and that the lack of said foods will cause a great variety of ailments, diseases or conditions, as in said order specified, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, The Eta Company, Inc. et al., Docket 3243, November 5, 1938.]

SEC. 3.6 (y) (1) *Advertising falsely or misleadingly—Scientific or other relevant facts.*—Representing, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similar products, that lack of said "Foods" sold under some fifteen various names such as "Eta Food Sodium," "Eta Food Potassium," "Eta Food Magnesium," etc., will cause a great variety of ailments, diseases or conditions, as in said order specified, and that the asserted immediate physical, mental and financial success assured any one by aforesaid books, is unattainable without them, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, The Eta Company, Inc., et al., Docket 3243, November 5, 1938.]

SEC. 3.6 (c) *Advertising falsely or misleadingly—Composition of goods.*—Representing, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similar products, that any of said "Foods" sold under some fifteen various names such as "Eta Food Sodium," "Eta Food Potassium," "Eta Food Magnesium," etc., contain sufficient minerals, when taken in the dosage directed by respondents, to remedy or correct any mineral deficiency in the diet, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, The Eta Company, Inc. et al., Docket 3243, November 5, 1938.]

SEC. 3.6 (t) *Advertising falsely or misleadingly—Qualities or properties of product.*—Representing, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similiar products, that respondents' said books or pamphlets will enable persons to shape their own destiny and make a complete and satisfying success of their lives, or will assure anyone of immediate physical, mental and financial success, unattainable without these books or pamphlets, or that they will enable anyone to overcome all obstacles which retard success, and prevent or cure bodily ailments and diseases regardless of their cause and nature, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, The Eta Company, Inc. et al., Docket 3243, November 5, 1938.]

SEC. 3.6 (r) (7) *Advertising falsely or misleadingly—Prices—Usual as reduced:* SEC. 3.72 (n) *Offering deceptive inducements to purchase—Special offers.*—Rep-

[1] 3 F. R. 1923 DI.

resenting, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similar products, that the prices at which said books or pamphlets are offered for sale, etc., are special, when in fact they are the usual and customary prices, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, Sec. 45b.) [Modified cease and desist order, The Eta Company, Inc. et al., Docket 3243, November 5, 1938.]

SEC. 3.6 (a) (1) *Advertising falsely or misleadingly—Business status, advantages or connections of advertiser—Authorities and personages connected with.*—Representing, in connection with offer and sale of "Eta Concentrated Foods," and of "Mastery of Success" and "Brain Power Supreme" books or pamphlets, or substantially similar products, through use of term Medical Doctor, or Doctor of Medicine, or any abbreviation thereof, or any other professional designation of like or similar import, that respondent Willis G. Sheeman is a duly qualified physician and licensed medical practitioner, prohibited. (Sec. 5b, 52 Stat. 112; 15 U. S. C., Supp. IV, sec. 45b.) [Modified cease and desist order, The Eta Company, Inc. et al., Docket 3243, November 5, 1938.]

United States of America—Before Federal Trade Commission

At a regular session of the Federal Trade Commission, held at its office in the City of Washington, D. C., on the 5th day of November, A. D. 1938.

Commissioners: Garland S. Ferguson, Chairman; Charles H. March, Ewin L. Davis, William A. Ayres, Robert E. Freer.

IN THE MATTER OF THE ETA COMPANY, INC., A CORPORATION, AND WILLIS G. SHEEMAN, AN INDIVIDUAL

MODIFIED ORDER TO CEASE AND DESIST

This proceeding having been heard by the Federal Trade Commission upon the motion to modify the order to cease and desist issued herein on June 30, 1938,[1] and the Commission having duly considered said motion and the record herein, and being fully advised in the premises:

It is ordered That the said order to cease and desist be, and the same is, hereby modified to provide as follows:

It is ordered, That the respondents, the Eta Company, Inc., its officers, representatives, agents and employees, and Willis G. Sheeman, an individual, his representatives, agents and employees, in connection with the offering for sale, sale and distribution of so-called food products now designated and described generally as "Eta Concentrated Foods", or any other so-called food products containing substantially the same ingredients or possessing substantially the same properties under whatever name sold, in or in connection with the offering for sale, sale and distribution of the books or pamphlets now known as and sold under the name of "Mastery of Success" and "Brain Power Supreme", under whatever name sold, in interstate commerce or in the District of Columbia, do forthwith cease and desist from directly or indirectly representing:

1. That said "Eta Concentrated Foods" have any curative, remedial or therapeutic value or are in any way beneficial in the treatment of any of the ailments, diseases or conditions hereinafter named.

2. That any of said "Eta Concentrated Foods" contain sufficient minerals, when taken in the dosage directed by the respondents, to remedy or correct any mineral deficiency in the diet.

3. That the "Eta Concentrated Food" sold under the name of "Eta Food Sodium" will improve digestion, prevent fermentation of food, increase will power, eliminate carbon dioxide, remove acid and waste, "alkalinize nerves and clear the brain," and that a lack of "Food Sodium" will cause acidity, serious stomach disorders, rheumatic ailments and the formation of acid in the nerves and brain.

4. That the "Eta Concentrated Food" sold under the name of "Eta Food Potassium" will build and reconstruct muscles, make motor nerves function properly, help to assimulate fat, gain weight, multiply body cells, cause the growth of muscles and tissues, alkalize the blood, increase power of resistance, increase pep, courage and magnetism, and that a lack of "Food Potassium" in the diet will cause fermentation of food, neuralgia, insomnia, water to form in the tissues, swollen ankles, moroseness, lack of ambition, hallucinations, a feeling of bruised muscles and weak and sagging ligaments.

5. That the "Eta Concentrated Food" sold under the name of "Eta Food Magnesium" will convert acid into a neutral salt, calm the nerves, stimulate bowel action, aid in increasing weight, prevent acid stomach, catarrhal discharges, overheated blood, dry and torpid bowels, fainting spells, jerky nerves, backache, stringy-mucus, greasy hair, acne pimples, itching blisters, noxious acids, gases and toxins, soothe the sexual instinct and promote sleep.

6. That the "Eta Concentrated Food" sold under the name of "Eta Food Iron" will prevent trembling spells, shooting pains, disturbed blood pressure, will renew strength, cause a youthful appearance, increase popularity and fascination of women, make men strong and courageous, and promote enthusiasm and cheerfulness.

7. That the "Eta Concentrated Food" sold under the name of "Eta Food Chlorin" will promote the elimination of water from the body, remove impurities, germs and pus, make tissues dense and elastic, exclude water, fat and carbohydrates from tissues and increase the strength of the voice, and that a lack of "Food Chlorin" in the diet will cause puffiness under the eyes, between finger joints and around the ankles, skin to become dull and red, and white spots to appear on the skin, dry throats, nervousness, heart trouble, noises in the ear, pale skin and a heavy tongue and limbs.

8. That the "Eta Concentrated Food" sold under the name of "Eta Food Phosphorous" will improve nutrition of nerves and tissues, strengthen bones and teeth and increase red corpuscles, and that a lack of "Food Phosphorous" will destroy self-confidence, lead to sterility, neuralgia and pus formation, cause children to be dumb and prevent them from controlling their fingers, cause irritation of nerves, lack of will power, destroy the ability to concentrate, destroy the appetite, cause nervousness, morbidity, pallid faces, waxy skin, night sweats and twitching in the muscles of the eyelids.

9. That the "Eta Concentrated Food" sold under the name of "Eta Food Silicon" will make the blood warmer, muscles firmer, increase growth of hair, prevent ovarian and menstrual trouble, increase endurance of elderly people, improve eyesight, hair and complexion, free the nasal canals permitting discharge of phlegm and mucus, and cause catarrh, headaches and disturbance of the brain, and colds, to disappear.

10. That the "Eta Concentrated Food" sold under the name of "Eta Food Fluorin" will provide material for feeding teeth enamel, work against tubercular, syphilitic and vaccine pus formation, prevent spinal diseases and brain trouble, and that a lack of "Food Fluorin" in the diet will cause head, neck, skin and the lower abdomen to become puffed and swollen, the gums to become loose, tender and spongy, development of ailments of the nails and eyelashes, brown and yellow spots to appear on the skin, and the eyesight to become poor and large veins to appear.

11. That the "Eta Concentrated Food" sold under the name of "Eta Food Sulphur" will prevent jerky nerves, fitful moods, fussy notions, panting for air in warm rooms, tired eyelids, flushes of heat, sudden indigestion, lame fingers, partial closure of the throat, tension in the neck with restlessness and headache, and dryness of the skin, and that by the use of "Food Sulphur" there will be maintained a more uniform temperature in the nerves, the brain centers, the sexual nerves, nerves of the kidneys, liver and optic centers, the lymph, the cerebrospinal fluid and the neurolin in nerve and brain matter.

12. That the "Eta Concentrated Food" sold under the name of "Eta Food Calcium" will improve the nerves, prevent tooth decay, has a beneficial effect upon ulcers, infection, eczema and psoriasis skin diseases, and that a lack of "Food Calcium" will cause brain softening, running ears and pasty complexion.

13. That the "Eta Concentrated Food" sold under the name of "Eta Food Iodin" will neutralize toxins, cause skin eruptions, pimples, sores, ulcers and unsightly

[1] 3 F. R. 1659 DI.

blemishes to clear up quickly, disintegrate fat, reduce bodily weight, preserve the tint of nails, complexion, hair, beauty of the eyes, eyelashes and brows, strengthen nerves, make the mind more alert, and that the users of "Food Iodin" will never suffer from goiter, scrofula, nervous ailments, defective bone metabolism, and blood and skin diseases.

14. That the "Eta Concentrated Food" sold under the name of "Eta Food Manganese" possesses antiseptic and germicidal properties, that it will counteract body acids and toxic products, increase power of body purification, hinder the development of cancerous growths in the membranes, linings and organs, toughen and harden the linings of the heart, bones cranium, membranes surrounding the viscera, the abdominal cavity and joint structures, and that a lack of "Food Manganese" will cause the linings of the human structures and conductors to become thin and lose their ductility, the organs, vessels and their nerves to suffer, cause a state of fever in the nerves, result in congested headaches, chronic neuralgia, nerve cramps, shrunken facial tissues, terrific cramps before menstruation, shrinkage of the brain, lack of ability to concentrate, absentmindedness and optical illusions.

15. That the "Eta Concentrated Food" sold under the name of "Etalax" corrects constipation, is one of the surest, safest and most effective means of flushing the intestinal tract of impurities, strengthening the intestinal muscles, will give new power to and tone up the entire eliminative system.

16. That the "Eta Concentrated Food" sold under the name of "Eta Food No. 26" nourishes and builds up eye structure and possesses the positive power to improve eyesight, will enable one to "lay off" glasses for good, and the use of this product and certain exercises, distributed in connection with the sale thereof, will restore the natural shape of the eyeball.

17. That the "Eta Concentrated Foods" sold under the names of "Eta Food #2," "Eta Food #3," "Etagland Food Male," and "Etagland Food Female" will give food elements to the cell structures and give strength to the functions of generation, and that the said preparations will be of benefit in cases of sexual debility.

18. That respondents' books or pamphlets known as "Mastery of Success" and "Brain Power Supreme" will enable persons to shape their own destiny and make a complete and satisfying success of their lives, or will assure anyone of immediate physical, mental and financial success, unattainable without these books or pamphlets; or that these books or pamphlets will enable anyone to overcome all obstacles which retard success, and prevent or cure bodily ailments and diseases regardless of their cause and nature.

19. That the prices at which said books or pamphlets "Mastery of Success" and "Brain Power Supreme" are offered for sale and sold are special, when in fact the prices at which said books or pamphlets are offered for sale and sold are the usual and customary prices therefor.

20. Through the use of the term Medical Doctor, or Doctor of Medicine, or any abbreviation thereof, or any other professional designation of like or similar import, that Willis G. Sheeman is a duly qualified physician and licensed medical practitioner."

It is further ordered, That the respondents shall, within sixty (60) days after service upon them of this order, file with the Commission a report in writing setting forth in detail the manner and form in which they have complied with this order.

By the Commission.

[SEAL] OTIS B. JOHNSON, *Secretary.*

[F. R. Doc. 38-3486; Filed, November 18, 1938; 1:59 p. m.]

TITLE 17—COMMODITY AND SECURITIES EXCHANGES

COMMODITY EXCHANGE ADMINISTRATION

AMENDMENTS TO RULES AND REGULATIONS OF THE SECRETARY OF AGRICULTURE UNDER THE COMMODITY EXCHANGE ACT, AS AMENDED

By virtue of the authority vested in the Secretary of Agriculture by the Commodity Exchange Act (7 U. S. C. and Sup. III, secs. 1–17a), as amended by the act of Congress, approved April 7, 1938 (52 Stat. 205), I, H. A. Wallace, Secretary of Agriculture, do hereby make, prescribe, publish, and give public notice of the following amendments to the rules and regulations of the Secretary of Agriculture under said act, as amended, said amendments to become effective on the first day of January 1939,[1] and continue in force and effect until amended or superseded under the authority of said act, as amended.

Section 7 [1.7][2] of article I[3] of said rules and regulations is amended to read as follows:

SEC. 7. [1.7] *Registration required of futures commission merchants.*—No person shall engage as futures commission merchant in the solicitation or acceptance of orders for the purchase or sale of any commodity for future delivery, or involving any contracts of sale of any commodity for future delivery, on or subject to the rules of any contract market, unless such person shall have secured a certificate of registration as futures commission merchant under the Commodity Exchange Act issued by the Secretary of Agriculture and countersigned by the Chief or Acting Chief of the Commodity Exchange Administration and such registration shall not have expired, been suspended, or been revoked. Such registration shall be required of every person engaged as herein described irrespective of whether accounting records relating to such orders and trades and contracts resulting therefrom are maintained by other futures commission merchants to whom such orders are transmitted for execution or clearance. (Sec. 5, 49 Stat. 1494; 7 U. S. C., Sup. III, 6d.)

Section 12 [1.12], as amended, of article I of said rules and regulations is amended to read as follows:

SEC. 12. [1.12] *Posting of registration certificate; fee for duplicate.*—Every person registered as futures commission merchant under the act shall—

(a) post in a conspicuous place in each office in the United States maintained by such person in which orders for the purchase or sale of any commodity for future delivery are solicited or accepted, the original or a duplicate (issued by the Secretary of Agriculture) of such registrant's registration certificate as futures commission merchant; and

(b) post in a conspicuous place in each office in the United States in which orders for the purchase or sale of any commodity for future delivery are solicited or accepted *for, and in the name of*, such registrant, a duplicate (issued by the Secretary of Agriculture) of such registrant's registration certificate as futures commission merchant.

Duplicates of registration certificates may be procured on request on payment of two dollars ($2) for each duplicate. Remittances in payment of duplicates shall be made payable to the Treasurer of the United States. The word "DUPLICATE" in conspicuous letters shall appear on the face of each duplicate. (Secs. 5, 10, 49 Stat. 1495, 1500; 7 U. S. C., Sup. III, 6f (2), 12a (4) (5).)

Section 14 [1.14], as amended, of article I of said rules and regulations is amended to read as follows:

SEC. 14. [1.14] *Changes to be reported by futures commission merchants and floor brokers.*—The registrant shall file with the Commodity Exchange Administration a statement on form 3–R setting forth any change which renders no longer accurate and current the information contained in any of the following enumerated items of the registrant's application for registration (or any statement supplemental thereto):

With respect to a futures commission merchant.—Item 2 (address of principal office), item 3 (concerning general books and records), item 4 (form of organization), item 9 (addresses of branch offices and names of managers thereof, and location of branch offices in which there is

[1] 2 F. R. 1223 (1465 DI).

[2] Bracketed numbers refer to sections of Title 17, Code of Federal Regulations.

[3] Title 17, Code of Federal Regulations, Part 1, Subpart.—General Provisions.

maintained a separate and complete set of financial records of commodity customers' accounts), item 10 (agents authorized to solicit or accept commodity futures orders for, and in the name of, the registrant), and item 14 (refusal of, or suspension or expulsion from, commodity-exchange membership). Any change in the personnel of a partnership resulting from the death, withdrawal, or addition of a partner which, as a matter of law, does not create a new partnership may be reported on form 3–R, as provided in section 15 [1.15] hereof.

With respect to a floor broker.—Item 2 (a) (business address), item 9 (names and addresses of clearing members through whom registrant clears commodity futures transactions for his own account), and item 11 (refusal of, or suspension or expulsion from, commodity-exchange membership).

Upon discontinuing business as futures commission merchant or as floor broker the registrant shall immediately notify the Commodity Exchange Administration on form 3–R.

All statements on form 3–R shall be prepared and filed in accordance with the instructions appearing thereon. (Sec. 5, 49 Stat. 1495; 7 U. S. C., Sup. III, 6f (1)).

Article I of said rules and regulations, as amended, is amended by adding after section 31 [1.31] thereof the following section:

SEC. 31a. [1.31a] *Compliance with sections 32 to 36 [1.32 to 1.36], inclusive.*—With respect to a futures commission merchant who transmits all customers' commodity futures orders, together with all money, securities, and property received to margin, guarantee, or clear the trades or contracts of such customers, to another futures commission merchant for execution or clearance, and the latter renders confirmations and statements of purchase and sale, and transmits remittances, direct to such customers, the requirements of sections 32 to 36 [1.32 to 1.36], inclusive, of these rules and regulations shall be deemed to be complied with if the books and records described in the aforesaid sections are prepared and kept, in the form and manner therein set forth, by either the futures commission merchant transmitting such orders or by the futures commission merchant to whom such orders are transmitted. (Sec. 10, 49 Stat. 1500; 7 U. S. C., Sup. III, 12a (5)).

In testimony whereof I have hereunto set my hand and caused the official seal of the Department of Agriculture to be affixed in the city of Washington this 19th day of November 1938.

[SEAL] H. A. WALLACE,
Secretary of Agriculture.

[F. R. Doc. 38–3502; Filed, November 21, 1938; 12:12 p. m.]

TITLE 26—INTERNAL REVENUE

BUREAU OF INTERNAL REVENUE

[T. D. 4875]

INCOME TAX

REGULATIONS RELATING TO THE RECOGNITION OF GAIN ON CERTAIN CORPORATE LIQUIDATIONS

To Collectors of Internal Revenue and Others Concerned:

PARAGRAPH A. Section 112 (b) (7) of the Revenue Act of 1938, enacted May 28, 1938 (Public No. 554, Seventy-fifth Congress, Chapter 289, third session), provides:

[*In the original document, here follows the text of Section 112 (b) (7) of the Revenue Act of 1938.*]

PAR. B. Pursuant to the authority contained in sections 62 and 112 (b) (7) of the Revenue Act of 1938, the following regulations are prescribed with respect to the recognition and treatment of gain or qualified electing shareholders upon the complete liquidation of a domestic corporation occurring within the month of December, 1938, the sections referred to therein being sections of the Revenue Act of 1938:

ARTICLE 112 (b) (7)–1. *Corporate liquidations in December, 1938.*—(a) *General.*—Section 112 (b) (7) provides a special rule, in the case of certain specifically described complete liquidations of domestic corporations occurring within the month of December, 1938, for the treatment of gain on the shares of stock owned by qualified electing shareholders on the date of the adoption of the plan of liquidation. The effect of such section is in general to postpone the recognition of that portion of a qualified electing shareholder's gain on the liquidation which would otherwise be recognized and which is attributable to appreciation in the value of certain corporate assets unrealized by the corporation at the time such assets are distributed in complete liquidation. Only qualified electing shareholders are entitled to the benefits of section 112 (b) (7). The determination of who is a qualified electing shareholder is to be made under section 112 (b) (7) (C) and article 112 (b) (7)–2 of these regulations. For the basis of property received on such liquidations, see section 113 (a) (18).

(b) *Type of liquidation.*—The liquidation must be in pursuance of a plan of liquidation adopted after May 28, 1938. Such plan may be adopted at any time after May 28, 1938, and before the first distribution under the liquidation occurs, even though the date of adoption falls in a taxable year of the liquidating corporation to which the Revenue Act of 1936 applies. The Act specifically requires that the distribution be in complete cancelation or redemption of all the stock of the corporation. The Act also requires that the transfer of all the property, both tangible and intangible, of the corporation under the liquidation occur entirely within the month of December, 1938, but if proper arrangements are made in good faith for the payment, after December 31, 1938, of unascertained or contingent liabilities and expenses, this requirement will be considered to have been complied with. The assets reserved for this purpose must be in cash and must be reasonable in amount. Though it is not necessary that the corporation dissolve in December, 1938, it is essential that a status of liquidation exist at the time the first distribution is made under the plan and that such status continue to the date of dissolution of the corporation. A status of liquidation exists when the corporation ceases to be a going concern and its activities are merely for the purpose of winding up its affairs, paying its debts, and distributing any remaining balance to its shareholders.

If a transaction constitutes a distribution in complete liquidation within the meaning of the Act and satisfies the requirements of section 112 (b) (7), it is immaterial that it is otherwise described under the local law.

ART. 112 (b) (7)–2. *Qualified electing shareholder.*—No corporate shareholder may be a qualified electing shareholder if at any time between April 9, 1938, and the date of the adoption of the plan of liquidation, both dates inclusive, it is the owner of stock of the liquidating corporation possessing 50 percent or more of the total combined voting power of all classes of stock entitled to vote upon the adoption of the plan of liquidation. All other shareholders are divided into two groups for the purposes of determining whether they are qualified electing shareholders: (a) shareholders other than corporations, and (b) corporate shareholders. Any shareholder of either of such two groups (whether or not the stock he owns is entitled to vote on the adoption of the plan of liquidation) is a qualified electing shareholder if—

(1) His written election to be governed by the provisions of section 112 (b) (7) (which can not be withdrawn or revoked) has been made and filed as prescribed in article 112 (b) (7)–3 of these regulations; and

(2) Like elections have been made and filed by owners of stock possessing at least 80 percent of the total combined voting power of all classes of stock owned by shareholders of the same group on the date of, and entitled to vote upon, the adoption of the plan of liquidation.

Example.—The R Corporation has outstanding 20 shares of common stock on July 1, 1938, the date of the adoption of a plan of liquidation within the provisions of section 112 (b) (7), each entitled to one vote upon the adoption of such plan of liquidation. Ten of such shares are owned by the S Corporation, two each by the X Corporation and the

Y Corporation, one by the Z Corporation, and one each by A, B, C, D, and E, individuals. There are also outstanding two shares of preferred stock, not entitled to vote on liquidation, one share being owned by F, an individual, and one share by the P Corporation. The S Corporation, being a corporate shareholder and the owner of 50 percent of the voting stock, may not be a qualified electing shareholder under any circumstances. In order for any other corporate shareholder to be a qualified electing shareholder, it is necessary that the X Corporation and the Y Corporation file their written elections to be governed by section 112 (b) (7). If this is done, the P Corporation will also be a qualified electing shareholder if it has filed a like election. Similarly, in the case of the individual shareholders, some combination of four of the individual holders of the common stock must have filed their written elections, before any individual shareholder may be considered a qualified electing shareholder, but if this is done, F will also be a qualified electing shareholder if he has filed a like election.

An election to be governed by the provisions of section 112 (b) (7) relates to the treatment of gain realized upon the cancelation or redemption of stock upon liquidation and can therefore be made only by or on behalf of the person by whom gain, if any, will be realized. Thus, the shareholder who may make such election must be the actual owner of stock and not a mere record holder, such as a nominee.

A shareholder is entitled to make an election relative to the gain only on stock owned by him at the time of the adoption of the plan of liquidation. The election is personal to the shareholder making it and does not follow such stock into the hands of a transferee.

ART. 112 (b) (7)–3. *Making and filing of written elections.*—An election to be governed by section 112 (b) (7) shall be made in duplicate under oath or affirmation on Form 964 in accordance with the instructions printed thereon and with these regulations. Such duplicate originals shall be filed by the shareholder or by the liquidating corporation with the Commissioner of Internal Revenue, Washington, D. C., attention of the Income Tax Unit, Records Division, within 30 days after the adoption of the plan of liquidation. A copy shall also be attached to and made a part of the shareholder's income tax return for his taxable year in which the transfer of all the property under the liquidation occurs.

ART. 112 (b) (7)–4. *Treatment of gain.*—(a) *Computation of gain.*—As in the case of shareholders generally, for the purpose of computing gain, amounts received by qualified electing shareholders are treated as in full payment in exchange for their stock, as provided in section 115 (c), and gain from the receipt of such amounts is determined as provided in section 111. Gain or loss must be computed separately on each share of stock owned by a qualified electing shareholder on the date of the adoption of the plan of liquidation. The limited recognition and special treatment accorded by section 112 (b) (7) applies only to the gain on such shares of stock upon which gain was realized and not to net gain computed by setting off losses realized on some shares against gains on others.

(b) *Recognition of gain.*—Pursuant to section 112 (b) (7) only so much of the gain on each share of stock owned by a qualified electing shareholder on the date of the adoption of the plan of liquidation is recognized as does not exceed the greater of the following—

(1) Such share's ratable share of the earnings and profits of the corporation accumulated after February 28, 1913, computed as of December 31, 1938, without diminution by reason of distributions made during the month of December, 1938; or

(2) Such share's ratable share of the sum of the amount of money received by such shareholder on shares of the same class and the fair market value of all the stock or securities so received which were acquired by the liquidating corporation after April 9, 1938. The mere replacement after April 9, 1938, of lost or destroyed certificates or instruments acquired on or before April 9, 1938, or the mere conversion of certificates or instruments into certificates or instruments of larger or smaller denominations will not constitute an acquisition within the meaning of the phrase "acquired after April 9, 1938". Nor will such an acquisition result from the issuance after April 9, 1938, of certificates of stock in connection with a subscription made and accepted on or before April 9, 1938.

(c) *Treatment of recognized gain.*—In the case of a qualified electing shareholder other than a corporation that part of the recognized gain on a share of stock owned on the date of the adoption of the plan of liquidation which is not in excess of its ratable share of the earnings and profits of the liquidating corporation accumulated after February 28, 1913, determined as provided in section 112 (b) (7) (E) (i) is treated and taxed to him as a dividend. It retains its character as a dividend for all tax purposes. The remainder of the gain which is recognized is treated and taxed to him as a short-term or long-term capital gain, as the case may be. In the case of a qualified electing shareholder which is a corporation the entire amount of the gain which is recognized is treated and taxed as a capital gain.

Example.—The X Corporation has only one class of stock outstanding, owned in equal amounts by three shareholders. The basis of the stock owned by each shareholder is $50, each having bought his stock in a single bloc prior to the date of the adoption of a plan of liquidation conforming to the requirements of section 112 (b) (7). One of such shareholders is an individual and two are corporations and all are qualified electing shareholders. The X Corporation has earnings and profits accumulated after February 28, 1913, of $60, its assets consisting of property (other than stock or securities and money) with a fair market value of $240, cash of $75, and stock and securities acquired after April 9, 1938, with a fair market value of $90, all of which assets are distributed in December, 1938, to the shareholders pro rata in complete liquidation of the corporation, as provided in section 112 (b) (7). Each shareholder, therefore, receives, in cash and property, $135 and his gain is $85.

In the case of each shareholder $55 of this gain is recognized, since such amount represents the sum of the cash received by him and the fair market value of the stock and securities received by him which were acquired by the X Corporation after April 9, 1938, and is greater than his ratable share of the earnings and profits ($20). In the case of the corporate shareholders this amount is treated as capital gain. In the case of the individual shareholder, however, $20, being the amount of the shareholder's ratable share of the earnings and profits, is taxable to him as a dividend, and $35, being the difference between the shareholder's ratable share of the earnings and profits and the sum of the cash and stock and securities received by him, is recognized and treated as a short-term or long-term capital gain, as the case may be. The remainder of each shareholder's gain, $30, is not recognized. If the basis of each shareholder's stock had been $100, instead of $50, the corporate shareholders would be taxed on only $35 as capital gain and the individual shareholder on $20 as a dividend but only on $15 as a capital gain, since the total amount taxed is limited by the amount of gain realized by the shareholder upon the cancelation or redemption of his stock.

ART. 112 (b) (7)–5. *Records to be kept and information to be filed with return.*—Permanent records in substantial form shall be kept by every qualified electing shareholder receiving distributions in complete liquidation of a domestic corporation. Such shareholder shall file with his income tax return for his taxable year in which the liquidation occurs a statement of all facts pertinent to the recognition and treatment of the gain realized by him upon the shares of stock owned by him on the date of the adoption of the plan of liquidation, including—

(a) A statement of his stock ownership in the liquidating corporation as of the date of the distribution, showing the number of shares of each class owned on such date and the cost or other basis of each such share;

(b) A list of all the property including money received upon the distribution, showing the fair market value of each item of such property other than money on the date distributed and stating what items, if any, consist of stock or securities acquired by the liquidating corporation after April 9, 1938;

(c) A statement of his ratable share of the earnings and profits of the liquidating corporation accumulated after February 28, 1913, computed without diminution by reason of distributions made during the month of December, 1938; and

(d) A copy of such shareholder's written election to be governed by the provisions of section 112 (b) (7). (See article 112 (b) (7)-3 of these regulations.)

PAR. C. Treasury Decision 4809, approved June 8, 1938[1] [I. R. B. 1938-24, 2], relating to the determination of who is a qualified electing shareholder, and to the making and filing of elections under section 112 (b) (7) of the Revenue Act of 1938, is hereby superseded.

GUY T. HELVERING,
Commissioner of Internal Revenue.

Approved, November 18, 1938.

JOHN W. HANES,
Acting Secretary of the Treasury.

[F. R. Doc. 38-3507; Filed, November 21, 1938; 12:26 p. m.]

TITLE 45—PUBLIC WELFARE

CIVILIAN CONSERVATION CORPS

PART 3.—REGULATIONS RELATIVE TO ENROLLMENT, DISCHARGE, HOSPITALIZATION, DEATH, AND BURIAL OF ENROLLEES OF THE CIVILIAN CONSERVATION CORPS

SEC. 3.10 *Allotments and deposits.*[2]

* * * * *

(a) *Amounts.*—The State selecting agency in selecting men for enrollment will note on the certificate of selection the amount of the allotment and the name of the beneficiary, and/or the amount of the deposit required to be made by each enrollee. At the time of enrollment the amount of the allotment and/or deposit will be in all cases $22. Selection is made contingent to such an allotment and/or a deposit.

(b) *Changes or termination.*—(1) Subsequent to the certification of an allotment or deposit by the State selecting agency the designated allottee will not be subject to change, and the allotment will not be subject to reduction or cancelation, except upon approval by the State selecting agency. For stoppages of allotment or deposit upon final payment see Section 3.16, this part. Should the corps area commander not concur in the action taken by the State selecting agency, the matter will be referred to the Department of Labor or the Veterans' Administration through the normal channels of command. The decision of the Department of Labor or the Veterans' Administration will be final. (See Paragraph (g), this section.) Request for change of allotment may be initiated either by the enrollee or the State selecting agency.

(2) Subsequent to enrollment the company commander, upon the request of the enrollee, may authorize the increase of an allotment from the approved deposit and/or cash payment or may authorize an increase in the approved deposit from the cash payment, without reference to the State selecting agency.

* * * * *

(i) *Deposits.*—(1) Enrollees may be required by the State selecting agency to make deposits of a portion of their basic monthly pay in the amount of $22 per month. The State selecting agency may permit an allotment to be made in addition to a deposit. If the State selecting agency permits a combination deposit and allotment, the sum of the deposit and allotment at the time of enrollment will be in all cases $22. The amount and period of deposit will be entered in the appropriate space under "Deposits," C. C. C. Form No. 1.

* * * * *

(50 Stat. 319.) [C. C. C. Regs., W. D., Dec. 1, 1937; C 17, Nov. 15, 1938.]

[SEAL] E. S. ADAMS,
Major General,
The Adjutant General.

[F. R. Doc. 38-3490; Filed, November 19, 1938; 10:29 a. m.]

Notices

DEPARTMENT OF LABOR.

Wage and Hour Division.

NOTICE OF HEARING, APPLICATION OF NATIONAL ASSOCIATION OF HOUSE DRESS MANUFACTURERS, INC., NATIONAL ASSOCIATION OF SHIRT AND PAJAMA MANUFACTURERS, NATIONAL ASSOCIATION OF MEN'S SHIRTS AND BOYS' BLOUSE CONTRACTORS, INC., AND SUNDRY OTHER PARTIES FOR PERMISSION TO EMPLOY LEARNERS IN APPAREL INDUSTRY AT WAGE RATES LESS THAN APPLICABLE MINIMUM SPECIFIED

Whereas, application has been made by the National Association of House Dress Manufacturers, Inc., the National Association of Shirt and Pajama Manufacturers, the National Association of Men's Shirts and Boys' Blouse Contractors, Inc., and sundry other parties under Section 14 of the Fair Labor Standards Act of 1938, 52 Stat. 1060, and Regulations—Part 522, as amended,—(Regulations Applicable to the Employment of Learners pursuant to Section 14 of the Fair Labor Standards Act)[1] issued by the Administrator thereunder for permission to employ learners in the apparel industry at wages less than the applicable minimum wage specified in Section 6 of the Act;

Now, therefore, pursuant to the Act and the Regulations, notice is hereby given of a public hearing to be held on said application at the Raleigh Hotel, located at Pennsylvania Avenue and 12th Street, Washington, D. C., to commence at 10:00 A. M., on December 5, 1938, to take testimony for the purpose of determining:

(a) What, if any, occupation or occupations in the apparel industry require a learning period, and

(b) Whether it is necessary in order to prevent curtailment of opportunities for employment, to provide for the employment of persons in occupations requiring a learning period at wage rates lower than the minimum wage applicable under Section 6 of the Fair Labor Standards Act of 1938, and

(c) if such necessity is found to exist, at what wages lower than the minimum wage applicable under Section 6, such employment of learners shall be permitted, and with what limitations as to time, number, proportion and length of service.

At this hearing, learner applications will be considered and acted upon on the basis of the needs of the employees and the employers in the industry as a whole rather than on the basis of the needs of individual employees or employers of the industry. Opportunity will be afforded to interested parties to present evidence relevant to the foregoing inquiry. All persons or associations desiring to avail themselves of this opportunity should, if possible, notify the Administrator in advance by telegraph.

Pursuant to authority vested in the Administrator by the Fair Labor Standards Act of 1938, Mr. Merle D. Vincent is hereby designated as presiding officer to conduct the said hearing and to determine:

(a) What, if any, occupation or occupations in the apparel industry require a learning period, and

(b) whether it is necessary in order to prevent curtailment of opportunities for employment, to provide for the employment of persons in occupations requiring a learning period at wage rates lower than the minimum wage applicable under Section 6 of the Fair Labor Standards Act of 1938, and

(c) if such necessity is found to exist, at what wages lower than the minimum wage applicable under Section 6, such employment of learners shall be permitted, and with what limitations as to time, number, proportion and length of service.

As used in this notice, the term "apparel industry" includes men's, women's,

[1] 3 F. R. 1393 DI.
[2] Amendment.

[1] 3 F. R. 2484, 2661 DI.

infants', and children's apparel and accessories excepting gloves, boots and shoes, millinery, knitted wear and hosiery.

Signed at Washington, D. C., this eighteenth day of November, 1938.

ELMER F. ANDREWS,
Administrator.

[F. R. Doc. 38-3498; Filed, November 19, 1938; 12:03 p. m.]

CIVIL AERONAUTICS AUTHORITY.

BRANIFF AIRWAYS, INC.

NOTICE OF HEARING

[Docket No. 1-401 (E)-1]

Application Under Section 401 (e) for a Certificate of Public Convenience and Necessity for the Transportation by Air of Mail, Passengers, and Express Between: Chicago, Ill., and Dallas, Texas, via (Burlington, Ia.), Kansas City, Mo., Wichita, Kans., (Ponca City, Okla.) Oklahoma City, Okla., and Fort Worth, Texas; and

[Docket No. 1-401 (E)-2]

Application Under Section 401 (e) for a Certificate of Public Convenience and Necessity for the Transportation by Air of Mail, Passengers, and Property Between Amarillo, Texas and Brownsville, Texas, via Wichita Falls, Ft. Worth, Dallas, Waco, Austin, Houston, Galveston, San Antonio and Corpus Christi, Texas.

NOVEMBER 18, 1938.

The above-entitled proceeding is assigned for public hearing on November 29, 1938, 10 o'clock a. m. (standard time) at the office of the Civil Aeronautics Authority, Washington, D. C., before Examiner C. E. Leasure.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 38-3488; Filed, November 19, 1938; 10:22 a. m.]

EASTERN AIR LINES, INC.

NOTICE OF HEARING

[Docket No. 9-401 (E)-1]

Application Under Section 401 (e) for a Certificate of Public Convenience and Necessity for the Transportation by Air of Mail, Passengers and Property as Follows:

Between Newark, N. J. (New York) and Miami, Fla., With Intermediate Stops at Camden, N. J., Baltimore, Md., Washington, D. C., Richmond, Va., Raleigh, N. C., Charleston, S. C., Savannah, Ga., Jacksonville, Daytona Beach, Orlando, Vero Beach, and West Palm Beach, Fla.

Between Newark, N. J. (New York) and Brownsville, Texas, With Intermediate Stops at Camden, N. J., Baltimore, Md., Washington, D. C., Richmond, Va., Greensboro and Charlotte, N. C., Spartanburg and Greenville, S. C., Atlanta, Ga., Montgomery and Mobile, Ala., New Orleans and Baton Rouge, La., Beaumont, Houston and Corpus Christi, Texas.

Between Newark, N. J. (New York) and San Antonio, Texas, With Intermediate Stops at Camden, N. J., Baltimore, Md., Washington, D. C., Richmond, Va., Greensboro and Charlotte, N. C., Spartanburg and Greenville, S. C., Atlanta, Ga., Montgomery and Mobile, Ala., New Orleans and Baton Rouge, La., and Beaumont and Houston, Texas

Between Newark, N. J. (New York) and Tampa, Fla., With Intermediate Stops at Camden, N. J., Baltimore, Md., Washington, D. C., Richmond, Va., Greensboro and Charlotte, N. C., Spartanburg and Greenville, S. C., Atlanta and Albany, Ga., and Tallahassee, Fla.

Between Chicago, Ill., and Miami, Fla., With Intermediate Stops at Indianapolis, Ind., Louisville, Ky., Nashville and Chattanooga, Tenn., Atlanta and Macon, Ga., Jacksonville, Daytona Beach, Orlando, Vero Beach, and West Palm Beach, Fla.

Between Chicago, Ill., and Tampa, Fla., With Intermediate Stops at Indianapolis, Ind., Louisville, Ky., Nashville and Chattanooga, Tenn., Atlanta and Albany, Ga., and Tallahassee, Fla.

Between Memphis, Tenn., and Tallahassee, Fla., With Intermediate Stops at Florence-Sheffield-Tuscumbia, Birmingham, Montgomery, and Dothan, Ala.

NOVEMBER 18, 1938.

The above entitled proceeding is assigned for public hearing on December 1, 1938, 10 o'clock a. m., (eastern standard time) at the office of the Civil Aeronautics Authority, Washington, D. C., before Examiner C. E. Leasure.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 38-3489; Filed, November 19, 1938; 10:22 a. m.]

SECURITIES AND EXCHANGE COMMISSION.

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 17th day of November, A. D. 1938.

IN THE MATTER OF J. ALBERT HAINES, 150 BROADWAY, NEW YORK, NEW YORK

ORDER SUSPENDING REGISTRATION

The registration of J. Albert Haines, as a dealer on over-the-counter markets, having come on for hearing [1] before the Commission upon the question of revocation or suspension pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, and the Commission having entered its findings of fact in the matter and being of the opinion that it is necessary and appropriate in the public interest and for the protection of investors to suspend the said registration;

It is ordered, Pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, that the registration of J. Albert Haines, as a dealer transacting business on over-the-counter markets, be and the same is hereby suspended until further order of the Commission.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 38-3496; Filed, November 19, 1938; 11:53 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 17th day of November, A. D. 1938.

IN THE MATTER OF HERMAN LUCAS, 38 PARK ROW, NEW YORK, NEW YORK

ORDER SUSPENDING REGISTRATION

The registration of Herman Lucas, as a broker and dealer on over-the-counter markets, having come on for hearing [1] before the Commission upon the question of revocation or suspension pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, and the Commission having entered its findings of fact in the matter and being of the opinion that it is necessary and appropriate in the public interest and for the protection of investors to suspend the said registration;

It is ordered, Pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, that the registration of Herman Lucas, as a broker and dealer transacting business on over-the-counter markets, be and the same is hereby suspended until further order of the Commission.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 38-3497; Filed, November 19, 1938; 11:53 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 17th day of November, A. D. 1938.

[1] 3 F. R. 2144 DI.

[1] 3 F. R. 2145 DI.

IN THE MATTER OF DUNCAN COLLINS & COMPANY, INC., 5225 WILSHIRE BOULEVARD, LOS ANGELES, CALIFORNIA

MEMORANDUM OPINION AND ORDER SUSPENDING REGISTRATION

This is a proceeding pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, to determine whether the registration of Duncan Collins & Company, Inc., as a broker and dealer should be revoked or suspended.

On August 1, 1938, at a hearing held pursuant to the Commission's order of June 20, 1938, the registrant failed to appear personally or by counsel. Notice of the hearing had been sent to the person designated by the registrant as the person to receive notices at his business address and residence by registered mail on July 22, 1938, but had not actually been received by him because of his removal from those addresses. The trial examiner filed an advisory report in which he found that the license of the registrant to act as a broker in California had been suspended and that the registrant had failed to advise the Commission of this fact or of the fact that he had changed his address. On an independent review of the record we adopt the trial examiner's findings as accurate and further find that the registrant's failure to inform the Commission of the suspension of his license to act as a broker in California and of the change of address through a supplement to the application for registration filed within ten days after the occurrence of those events constituted a wilful violation of Rule X-15B-2 (referred to as Rule MB2 in the order for hearing, but since renumbered) of the Rules and Regulations under the Securities Exchange Act of 1934.

The sole remaining question is the effect of the failure to serve notice personally on the registrant. We follow our previous decisions in holding that, in the absence of personal service or service by registered mail based on previous consent to such service, we cannot order revocation. However, the registrant's registration should be temporarily suspended pending final disposition of the question of permanent revocation when the registrant comes in to be heard.

It is therefore ordered, Pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, that the registration of Duncan Collins & Company, Inc., as a broker and dealer be and hereby is suspended pending final determination whether such registration shall be revoked.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3495; Filed, November 19, 1938; 11:52 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 17th day of November, A. D. 1938.

IN THE MATTER OF RALPH H. GIBBINS DOING BUSINESS AS GIBBINS BROKERAGE COMPANY, 202 CAROLINA LIFE BLDG., COLUMBIA, SOUTH CAROLINA

MEMORANDUM OPINION AND ORDER SUSPENDING REGISTRATION

This is a proceeding ordered by the Commission on June 22, 1938, pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, to determine whether the registration of Ralph H. Gibbins, doing business as Gibbins Brokerage Company, as a dealer, effective July 8, 1937, should be revoked or suspended.

Notice of a hearing to be held in this proceeding was duly given in accordance with the registrant's consent as embodied in Item 27 of his Form 3-M application for registration. A hearing was held before a trial examiner on July 25, and July 27, 1938. The registrant failed to appear personally or by counsel. The trial examiner has filed an advisory report in which he found that the registrant has wilfully violated Rule X-15B-2 (formerly Rule MB2) of the Rules and Regulations under the Securities Exchange Act in failing to inform the Commission that his license to sell securities in South Carolina had expired. The trial examiner also found that the registrant falsely stated his business address in his application for registration. Since the registrant did not appear and defend himself against these charges, we withhold our findings and final determination until he comes in to be heard. However, pending such final determination we think it clear from the record that it is necessary and appropriate in the public interest and for the protection of investors that the registrant's right to use the mails and instrumentalities of interstate commerce in securities transactions be suspended.

It is therefore ordered, Pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, that the registration of Ralph H. Gibbins, doing business as Gibbins Brokerage Company, as a dealer be and is hereby suspended pending final determination whether such registration shall be revoked.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3494; Filed, November 19, 1938; 11:52 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 18th day of November, A. D. 1938.

[File No. 43-142]

IN THE MATTER OF LONE STAR GAS CORPORATION, GUTHRIE GAS SERVICE COMPANY

ORDER FOR CONSOLIDATION OF HEARINGS FOR STATED PURPOSES

The Commission now having pending before it joint and combined declarations and applications of Lone Star Gas Corporation and various subsidiary companies of such holding company and such matters having been set down for hearing[1] on the 22nd day of November 1938, at ten o'clock in the forenoon of that day, at the Securities and Exchange Commission Building, Washington, D. C., and subsequent thereto Guthrie Gas Service Company and Lone Star Gas Corporation having filed applications and declarations in regard to the proposed issue by such subsidiary company of certain 4½% notes and the exchange of such securities for certain 6% income demand notes now held by said holding company in the same principal amounts; and

It appearing that such proceedings will involve common questions of law and fact and that evidence offered in respect to each matter may have a bearing on the other; that the parties in the respective matters are substantially the same; and that substantial savings in time, effort and expense will result if the hearings are consolidated so that they may be heard as one matter;

It is ordered, That the declarations and applications of Guthrie Gas Service Company and Lone Star Gas Corporation referred to as having been filed subsequent to the date upon which the pending matters were set down for hearing be and they hereby are consolidated with those matters now pending for the purpose of hearings thereon.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3493; Filed, November 19, 1938; 11:52 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 17th day of November, A. D. 1938.

[File No. 43-154]

IN THE MATTER OF NEPSCO APPLIANCE FINANCE CORPORATION

ORDER PERMITTING DECLARATION TO BECOME EFFECTIVE PURSUANT TO SECTION 7 OF THE 1935 PUBLIC UTILITY HOLDING COMPANY ACT

Based upon the findings of fact and conclusions of law made in this matter, it is ordered that the declaration become

[1] 3 F. R. 2751 DI.

effective forthwith subject to the following conditions that:

1. The debentures shall be issued and sold, or resold, only to companies in the holding company system of which declarant is a member;

2. the declarant shall not issue any promissory note which has a maturity date later than December 31, 1939.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3503; Filed, November 21, 1938; 12:23 p. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 18th day of November 1938.

IN THE MATTER OF CLYDE B. VEDDER, DOING BUSINESS AS CLYDE VEDDER & COMPANY, 6253 HOLLYWOOD BOULEVARD, HOLLYWOOD, CALIFORNIA

ORDER REVOKING REGISTRATION

Clyde B. Vedder, doing business as Clyde Vedder & Company, a sole proprietorship, hereinafter called the registrant, a broker and dealer being registered under Section 15 (b) of the Securities Exchange Act of 1934, as amended; and

The Commission having reasonable grounds to believe that the said registrant has willfully violated the provisions of Section 8 (b) of the Securities Exchange Act of 1934, as amended, and Rule X-15B-2 of the Rules and Regulations under the Securities Exchange Act of 1934, as amended; and having further reasonable grounds to believe that it is in the public interest to revoke the said registration; and

The Commission, on August 23, 1938, having authorized proceedings on the question of revocation and/or suspension of registration of the said registrant pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended; and the said matter after appropriate notice having come on for hearing on October 12, 1938 in Los Angeles, California; and the said registrant having consented in writing to the revocation of his registration; and such consent having been introduced into the record of the proceedings as Commission's Exhibit 5; and the Commission having duly considered the matter and being fully advised in the premises;

It is ordered, Pursuant to Section 15 (b) of the Securities Exchange Act of 1934, as amended, that the registration of Clyde B. Vedder, doing business as Clyde Vedder & Company, as a broker and dealer transacting business on the over-the-counter markets, be and the same is hereby revoked.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3506; Filed, November 21, 1938; 12:24 p. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 19th day of November, A. D. 1938.

[File No. 31-131]

IN THE MATTER OF UNION ELECTRIC POWER CORPORATION

NOTICE OF AND ORDER FOR HEARING

An application pursuant to section 2 (a) (8) of the Public Utility Holding Company Act of 1935, having been duly filed with this Commission by the above-named party;

It is ordered, That a hearing on such matter be held on December 8, 1938, at 10:00 o'clock in the forenoon of that day, at the Securities and Exchange Building, 1778 Pennsylvania Avenue, NW., Washington, D. C. On such day the hearing-room clerk in room 1102 will advise as to the room where such hearing will be held. At such hearing, if in respect of any declaration, cause shall be shown why such declaration shall become effective.

It is further ordered, That Richard Townsend, or any other officer or officers of the Commission designated by it for that purpose shall preside at the hearings in such matter. The officer so designated to preside at any such hearing is hereby authorized to exercise all powers granted to the Commission under section 18 (c) of said Act and to a trial examiner under the Commission's Rules of Practice to continue or postpone said hearing from time to time.

Notice of such hearing is hereby given to such declarant or applicant and to any other person whose participation in such proceeding may be in the public interest or for the protection of investors or consumers. It is requested that any person desiring to be heard or to be admitted as a party to such proceeding shall file a notice to that effect with the Commission on or before December 3, 1938.

The matter concerned herewith is in regard to the application of Union Electric Power Corporation for an order declaring it not to be a subsidiary of Central States Edison, Inc.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3505; Filed, November 21, 1938; 12:23 p. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 19th day of November, A. D. 1938.

[File No. 32-118]

IN THE MATTER OF CENTRAL MAINE POWER COMPANY

NOTICE OF AND ORDER FOR HEARING

An application pursuant to section 6 (b) of the Public Utility Holding Company Act of 1935, having been duly filed with this Commission by the above-named party;

It is ordered, That a hearing on such matter be held on December 7, 1938, at 10 o'clock in the forenoon of that day, at the Securities and Exchange Building, 1778 Pennsylvania Avenue NW., Washington, D. C. On such day the hearing-room clerk in room 1102 will advise as to the room where such hearing will be held. At such hearing, if in respect of any declaration, cause shall be shown why such declaration shall become effective.

It is further ordered, That William W. Swift or any other officer or officers of the Commission designated by it for that purpose shall preside at the hearings in such matter. The officer so designated to preside at any such hearing is hereby authorized to exercise all powers granted to the Commission under section 18 (c) of said Act and to a trial examiner under the Commission's Rules of Practice to continue or postpone said hearing from time to time.

Notice of such hearing is hereby given to such declarant or applicant and to any other person whose participation in such proceeding may be in the public interest or for the protection of investors or consumers. It is requested that any person desiring to be heard or to be admitted as a party to such proceeding shall file a notice to that effect with the Commission on or before December 2, 1938.

The matter concerned herewith is in regard to a proposed issuance and sale by applicant, Central Maine Power Company, a subsidiary of New England Public Service Company, a registered holding company, of

(a) First and Gold Mortgage Bonds, Series H, 3½%, due 1966, dated August 1, 1936 and maturing August 1, 1966, in the principal amount of $4,500,000, such issue and sale to be made by public offering through underwriters, and

(b) 5,000 shares of common stock, no par value, at the price of $100 per share; such shares to be first offered to the holders of applicant's common stock and 6% preferred stock at said price on the basis of one share for every 27.2702 of outstanding shares then held by such holders.

A portion of the net proceeds of such sales will be used by the applicant for the payment of principal and interest to maturity of applicant's First Mortgage, 30 year, 5% Gold Bonds due November 1, 1939, in the principal amount of $3,303,000. The balance of said proceeds will be used to pay bank loans of the applicant now outstanding in the amount of $1,225,000 and for other regular corporate purposes of the applicant.

By the Commission.

[SEAL] FRANCIS P. BRASSOR, *Secretary.*

[F. R. Doc. 38-3504; Filed, November 21, 1938; 12:33 p. m.]